



Growing X

An AARRR funnel analysis of X (formerly Twitter) — gaps, epics, and RICE prioritization

Nikhil Arora

| Product Management Assignment

| July 2026

Primary research first, public data second

What I did myself

- **Logged-out test** — opened shared x.com links in a mobile incognito tab and documented every gate (screenshots t1-1...t1-6)
- **Fresh-account walkthrough** — full manual signup on iOS, every screen captured, timed end-to-end (t2-1...t2-10)
- **First-feed audit** — classified the first posts of a brand-new For You feed; noted ad and upsell placement (t3-1)
- **App Store review scan** — recent critical reviews, themes tallied against public review-site data

Secondary evidence

Third-party usage estimates (Demandsage, Backlinko, SocialBu, eMarketer) · review platforms (Trustpilot, Capterra, G2, GetApp) · growth literature (McClure's pirate metrics, Elman's Twitter aha-moment work via *Hacking Growth*) · framework canon (Intercom RICE, Atlassian epics) · July 2026 strategy news (X Money launch coverage).

A note on data honesty

X has published no audited user or financial data since going private in **Oct 2022** (last official figure: 237.8M mDAU). Every figure since is third-party estimation, and estimates conflict.

This deck therefore quotes **ranges, not points**, labels assumptions inline, and carries that uncertainty into the **Confidence** term of the RICE scores — rather than faking precision.

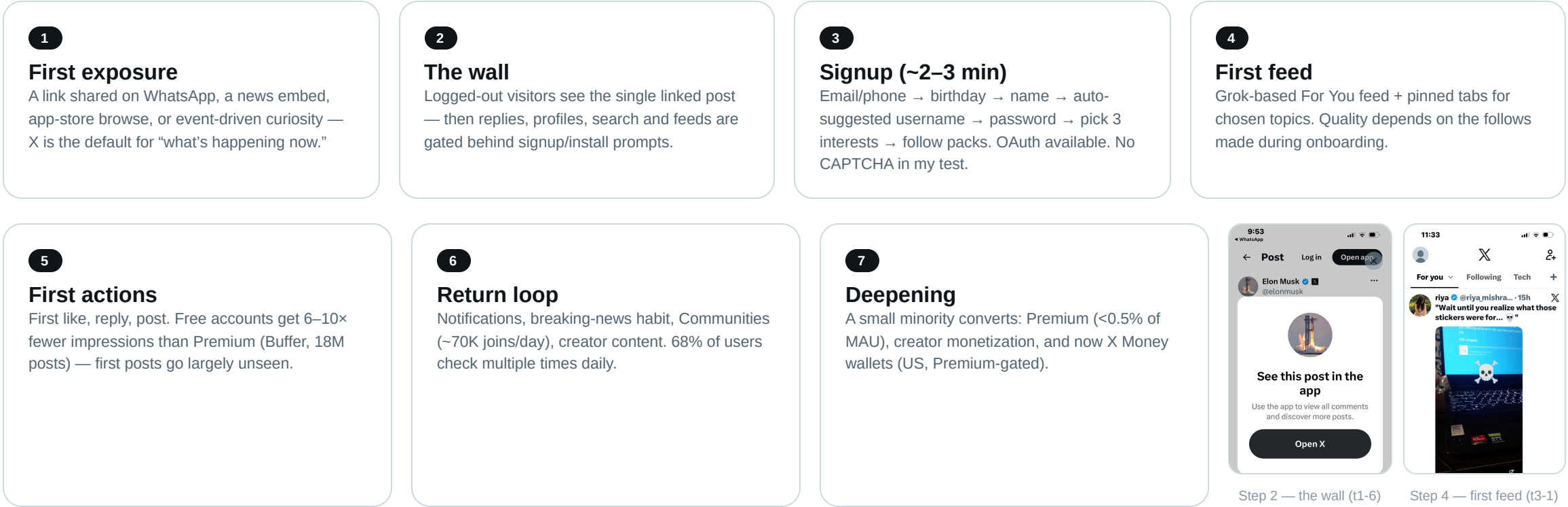
17

screens documented firsthand

5

AARRR stages mapped & gap-checked

The user journey on X today



AARRR → what users actually do on X

STAGE	USER ACTIONS	WHERE VALUE IS FELT	METRIC THAT MEASURES IT
Acquisition	Clicks a shared link · installs the app · signs up (~2–3 min, OAuth or manual)	A glimpsed post proving X has the live conversation	Logged-out visitor → signup conversion
Activation	Picks 3 interests · follows curated “follow packs” (~15–30 accounts) · scrolls first For You feed	Aha moment: ~30 follows with ~1/3 following back → a feed worth returning to (Elman’s growth team, via <i>Hacking Growth</i>)	% of new users reaching ~30 follows in week 1 · D1/D7 retention
Retention	Daily check-ins · notifications · topic tabs · Communities · live events	Being first to know when news breaks	DAU/MAU ratio · D30 retention · session frequency
Revenue	Sees feed ads · subscribes to Premium (₹470/mo India · tiered US pricing) · creator payouts · X Money wallet	Creators: reach + monetization; subscribers: checkmark, reach boost, Grok, wallet access	ARPU · Premium conversion · creator payout volume
Referral	Shares links to WhatsApp/iMessage · quote-posts · embeds	Social capital of sharing the news first	Shares per user · referred signups — currently uninstrumented

Order note: X monetizes before it earns referral — the Premium upsell modal appeared in my walkthrough *before account creation* (t2-5). McClure’s funnel is a lens, not a strict sequence.

Where value lands — and where users fall out

ILLUSTRATIVE FUNNEL

Exposed to X content (links, embeds, news)

▼ drop: wall demands install before demonstrating value

Visits a shared post (logged out)

▼ drop: signup decision — motivated users only

Signs up (~2–3 min)

▼ drop: weak/irrelevant feed if packs skipped

Activated as a reader (packs → ~30 follows)

▼ drop: zero followers, first post unseen, no community

Participates (posts, replies)

▼ drop: bots/harassment, free-tier invisibility, competitor pull

Habitual & monetizable

Widths are schematic, not measured — X publishes no stage-conversion data.

The aha moment, precisely stated

Users who quickly followed **~30 accounts** — with roughly **a third following back** — stayed active almost indefinitely; below that, most never returned. The value isn't the number: it's a steady, relevant stream *plus* the beginnings of conversation.

Josh Elman's Twitter growth team, retold in Hacking Growth (Ellis & Brown)

Retention pressure is visible

- Mobile DAU ~132M in Jun 2025, **-15% YoY** (third-party app analytics)
- Avg engagement rate roughly **halved** 2024 → 2026 (~0.03% → ~0.015%)
- Threads reported passing X in mobile DAU (Sep 2025) — Meta-disclosed vs third-party estimates, so directional

Five gaps across the funnel

#	STAGE	GAP	EVIDENCE	WHY IT MATTERS FOR GROWTH
G1	Acquisition	The logged-out wall breaks the viral loop at the receiving end. A shared link shows one post; replies, profiles, search are gated; back-navigation lands on an install page.	My t1-2...t1-6 screenshots; Trustpilot complaint (Jan 2026)	Shared links are X's largest free acquisition channel — each one is a landing page that demands install before showing value.
G2	Activation	Follow packs fix follow volume, not reciprocity. Mandatory packs deliver ~15–30 follows of CEOs/celebrities who never follow back: readers are activated, participants are not.	My t2-3/t2-4 screenshots; Buffer 18M-post analysis (free = 6–10× fewer impressions); Elman's 1/3-follow-back condition	Elman's aha had two halves; X built one. Consumption-only users retain shallowly and never become the content producers a network needs.
G3	Retention	Feed trust is eroding — bots, harassment, hacked accounts, weak moderation response.	My App Store review scan; consistent themes on Capterra, GetApp, G2, Trustpilot	X's leakiest visible stage: DAU –15% YoY, engagement halved. Every other stage pours users into this bucket.
G4	Revenue	Premium is pushed before value but bought by almost no one. Upsell modal appears before the account even exists; subscriber estimates: ~0.65–1.4M, under 0.5% of MAU.	My t2-5 screenshot (upsell at 10:22, pre-signup); Famewall/Statista vs SocialBu estimates	Ad revenue is ~half its 2021 peak; subscription diversification is strategically necessary but the value prop isn't landing.
G5	Referral	The referral stage is uninstrumented. No invite mechanic, incentive, or attribution — sharing exists, but recipients land on G1's wall. Only referral-adjacent feature: Premium gifting.	Product search — only third-party referral SaaS exists; my t1 findings	Referral is the cheapest acquisition channel; X leaves it to chance while walling the very links users share.

Two gaps compound into the real story

G1 + G5 · ONE BROKEN LOOP

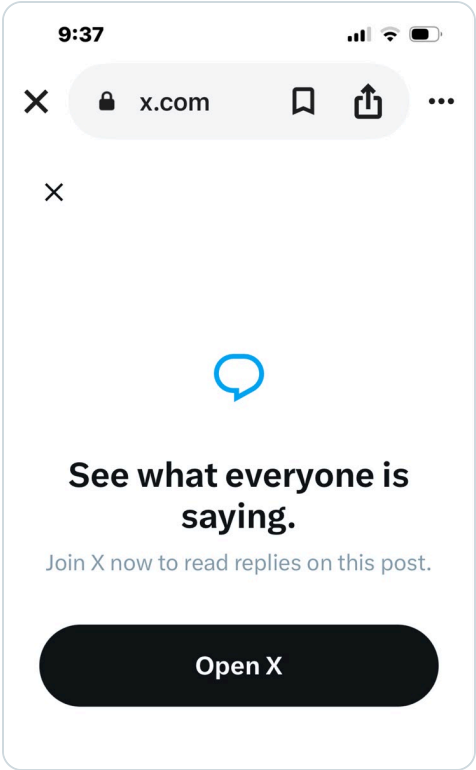
Sharing *out* of X is frictionless — the share sheet works even logged out. Arriving *in* is walled. Every prompt I hit used well-crafted contextual copy (“Join X now to read replies on this post”) — **the ask is polished; the wall is absolute**. X invested in how it asks, not whether it should.

Net effect: users generate referral traffic daily; the product converts almost none of it, and measures none of it.

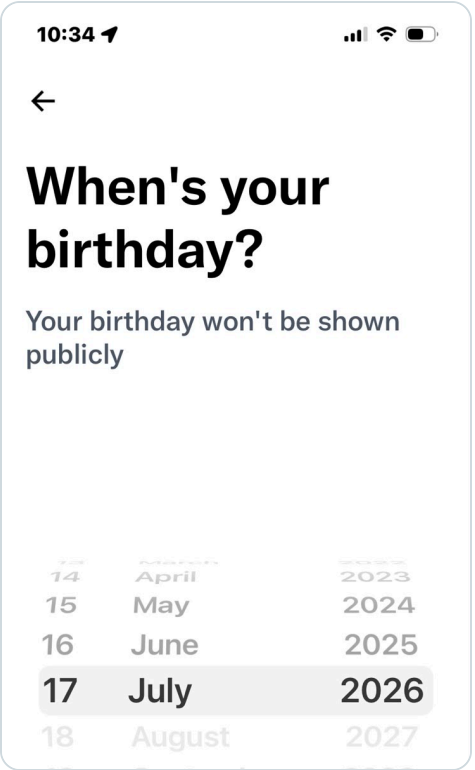
G2 · THE PARTICIPATION GAP

My new account left onboarding with ~30 follows (packs work — a real improvement over older public critiques) and a genuinely personalized feed. It also left with **0 followers, 0 mutuals, 0 community ties** — and a first post destined to be largely unseen (free reach = 6–10× below Premium).

Reader activation: solved. Participant activation: not built.



The reply gate, logged out (t1-2)



Mandatory follow packs at signup (t2-4)

Honest counter-note: not everything is broken. Signup took ~2–3 minutes with zero CAPTCHAs (documented lockout/CAPTCHA complaints appear risk-triggered rather than universal), topic tabs are pinned to the feed, and only one ad appeared in my first screen of posts.

X's strategy — and the tension inside it

1 · Everything app

X Money launched late June 2026 (US, Premium-gated): P2P by @handle, 6% APY, 3% cashback Visa card. Payments = the super-app spine.

2 · AI-first

Grok-based For You algorithm; xAI absorbed X (2025); Musk-centralized leadership since Yaccarino's exit (Jul 2025).

3 · Creator economy

2026 declared "year of the creator"; \$1B cumulative payouts; payouts reported to land instantly in X Money wallets.

4 · Video-first

8.3B daily video views; vertical video ~20% of session time and climbing.

5 · Ad recovery

Ad platform rebuilt with AI (Apr 2026), SMB-focused; revenue recovering but ~half the 2021 peak.

The tension

Every pillar needs a **bigger, more engaged, more verified user base** — payments need people to pay, creators need audiences, advertisers need reach. Yet the funnel restricts its own top (the logged-out wall) and under-invests in participation (no reciprocity, no referral loop). **The strategy demands growth the funnel isn't built to deliver.**

And X Money changes the referral calculus: the most proven referral playbook in consumer tech — fintech cash incentives (PayPal, Cash App) — is now natively possible on X for the first time.

Focus choice for epics: Activation + Referral — the clearest evidence, the tightest strategic fit, and two ends of the same broken loop. (Retention is the biggest leak, but durable fixes there are multi-year trust-and-safety programs — poor epic material; it serves here as rationale.)

Epic 1 · “Every new user leaves onboarding with a two-way connection — not just a feed”

Insight → Stage

G2, Activation. Follow packs deliver follow *volume* (~15–30) but zero *reciprocity*: new users get a stream, not a community — and their first post is largely unseen.

What it does

- “**People like you**” packs alongside celebrity packs — similar-sized accounts in the user’s interests, primed for mutual follows (same collaborative-filtering engine, different objective)
- **Community on-ramp** — one-tap join + intro prompt into a relevant Community during onboarding
- **Reciprocity nudges** — surface new joiners to established accounts in their niche
- Granular pack control — expand a pack and deselect individual accounts

Hypothesis

New users who gain **≥5 followers and join ≥1 Community in week 1** retain materially better at D30 than consumption-only users — completing the half of Elman’s aha moment (follow-backs) that packs left unbuilt.

Success metrics

% of new users with ≥5 mutual follows + ≥1 Community by day 7 (leading) · D30 retention delta vs control (lagging) · first-post impressions for new accounts

Strategic fit

Participants — not readers — become the creators Pillar 3 is funding and generate the engagement Pillars 4–5 monetize. This epic builds the creator pipeline at its source.

Epic 2 · “Turn every shared link into a working front door”

Insight → Stage

G1 + G5, Acquisition/Referral. Shared links are X's largest free channel, but recipients hit an absolute wall — value is demanded before it is demonstrated, and none of this traffic is attributed.

What it does

- **Rich logged-out preview** — the post plus 2–3 top replies and related posts before any gate: demonstrate the conversation, then ask
- **Contextual gate retained** — the existing well-written prompts stay; they just fire later in the visit
- **Attributed share links** — every share carries a referral token, instrumenting the Referral stage for the first time (and creating the measurement rail Epic 3 needs)

Hypothesis

Showing a slice of the conversation before gating **lifts logged-out** → **signup conversion** on shared links without reducing total signups — the wall converts better when the product speaks first.

Success metrics

Visitor → signup conversion on shared links (primary) · bounce rate on logged-out post pages · referral-attributed signups per sharing user (newly measurable)

Strategic fit

Every strategy pillar depends on top-of-funnel volume this wall currently suppresses. Low effort, broad reach — the classic quick win — and the attribution layer is foundational infrastructure for Epic 3.

Epic 3 · “Invite-and-earn on X Money rails” — the flagship

Insight → Stage

G5, Referral. X has **zero native referral incentive** — and just launched payment infrastructure. The most proven referral playbook in consumer tech (PayPal’s early cash bonuses, Cash App invite credits) is suddenly native to the platform.

What it does

- **Double-sided reward:** inviter and invitee both receive X Money credit when the new user verifies and clears an activation bar
- **Activation bar = Epic 1’s milestone** (follow packs + first mutual follows) — pay for activated users, not signups, which also blunts fraud
- **Fraud & abuse controls** — verification-gated payouts, velocity limits, regional caps

Hypothesis

A modest two-sided credit drives referred signups at **lower CAC than paid acquisition** — while seeding X Money wallets with their first balance and first transaction.

Success metrics

Referred activated users/month · blended CAC of referral vs paid channels · X Money wallet activations originating from referral credits · invitee D30 retention vs organic cohort

Strategic fit — one epic, three pillars

Referral acquisition (the empty AARRR stage) + X Money adoption (Pillar 1) + creator-economy synergy (payouts and credits share one wallet, Pillar 3). The strongest strategic-alignment story in this deck.

Insight → Stage → Epic, in one view

INSIGHT (FROM PART 2)	AARRR STAGE	EPIC	BEHAVIOR IT CHANGES
Follow packs create readers, not participants — no follow-backs, no community, first posts largely unseen (G2)	ACTIVATION	E1 · Two-way connection at onboarding	New users form mutual ties and join a Community in week 1 → deeper D30 retention, future creators
Shared links — the largest free channel — hit an absolute wall; referral traffic is unmeasured (G1 + G5)	ACQUISITION / REFERRAL	E2 · Shared link as a working front door	Logged-out visitors experience the conversation before the gate → higher signup conversion, attributed referrals
The referral stage has no mechanic at all — while X Money creates native incentive rails (G5 + Pillar 1)	REFERRAL	E3 · Invite-and-earn on X Money rails	Sharing becomes deliberate inviting; every activated invite seeds a wallet → compounding acquisition loop

The epics interlock: E2 builds the attribution rail E3 pays out on; E1 defines the activation bar E3’s reward triggers against. This is a system, not a list — which is exactly what the RICE sequencing on the next slide reflects.

Scoring the epics — assumptions stated, math shown

Ground rules

Reach = people affected per quarter, in millions (anchors, stated as assumptions: new users ≈25–35M/qtr if MAU ~550–600M with 15–20% churn; DAU ≈240M; external sharers ≈10–20% of DAU). **Impact** on Intercom’s scale (3 / 2 / 1 / 0.5 / 0.25). **Confidence**: 100 / 80 / 50% — with no audited platform data, nothing here honestly earns 100%. **Effort** in person-months.

Worked example — E3

Reach = 15% × ~240M DAU ≈ 36M/qtr
Impact = 2 · **Confidence** = 0.8 · **Effort** = 20 pm
RICE = (36 × 2 × 0.8) ÷ 20 = 2.88
Playbook is proven elsewhere (hence 0.8, not 0.5); payments+fraud scope drives the effort (hence 20).

RANK	EPIC	STAGE	REACH (M/QTR)	IMPACT	CONF.	EFFORT (PM)	RICE
1	E1 · Two-way connection at onboarding	Activation	30 (new-user cohort)	2	0.8	10	4.80
2	E2 · Shared link as a working front door	Acq / Referral	40 (link recipients)	1	0.8	8	4.00
3	E3 · Invite-and-earn on X Money rails	Referral	36 (sharing DAU)	2	0.8	20	2.88

E1: onboarding + recommendation changes on existing infrastructure — highest value per person-month. E2: narrower impact (one conversion step) but cheapest and broadest. E3: most strategic, heaviest build, real fraud/compliance surface — effort honestly scored, so it ranks third.

The score reveals a sequence, not just a ranking

NOW

E1 — fix activation

Highest RICE (4.80). Attacks X's leakiest stage — retention — at its source, with no new infrastructure. Defines the “activated user” bar the rest of the system uses.

IN PARALLEL

E2 — widen the funnel

4.00, lowest effort. More logged-out visitors convert, then E1 activates them properly. Ships the attribution rail as a by-product.

NEXT

E3 — instrument referral

2.88 — not weak, just heavy and dependent: it pays out on E1's activation bar via E2's attribution. Sequenced third by design, not by doubt.

If this ships: how the funnel changes

New users leave onboarding with mutual ties and a community (E1) → deeper D30 retention and a growing creator pipeline. Shared links convert instead of bouncing (E2) → cheaper top-of-funnel. Referral becomes a measured, incentivized loop riding X Money (E3) → acquisition that compounds. **North-star to watch: % of new users reaching ≥5 mutual follows + 1 Community in week 1 — the modern completion of the 30-follow aha moment.**

The one-line thesis: X's strategy needs more people inside; its funnel is optimized to keep them out. Fix participation, open the front door, then pay the loop to spin.

Evidence & sources

Primary (my walkthrough, Jul 17, 2026)

- Logged-out wall test — 6 annotated screenshots (t1-1...t1-6)
- Fresh-account signup, iOS, manual email flow — 10 screenshots (t2-1...t2-10), timed via screenshot timestamps
- First-feed audit of a brand-new For You feed (t3-1)
- App Store recent-review scan — themes cross-checked against review platforms

Frameworks

- Dave McClure — Startup Metrics for Pirates (AARRR, 2007)
- Sean Ellis & Morgan Brown — *Hacking Growth* (Twitter aha-moment case; Elman's ~30-follows finding)
- Intercom (Sean McBride) — RICE scoring convention
- Atlassian / ProductPlan — epic structure

Secondary (ranges quoted where sources conflict)

- Usage estimates: Demandsage · Backlinko · SocialBu · SQ Magazine · Searchlab (MAU ~540–611M; mobile DAU ~132M, –15% YoY)
- Buffer 18M-post impressions analysis (free vs Premium reach, 6–10×)
- User friction: Trustpilot · Capterra · G2 · GetApp review themes
- Revenue: eMarketer ad estimates · Social Media Today (Premium ~\$200M/yr) · Q3 2025 financials coverage
- X Money launch: Bloomberg · TechTimes · PYMNTS coverage (late June 2026, US Premium-gated; instant creator payouts as reported Jul 2026)
- Leadership & structure: Yaccarino exit (Jul 2025) · xAI–X merger · creator-economy announcements

All post-Oct 2022 platform figures are third-party estimates; this deck quotes ranges and reflects uncertainty in RICE confidence scores.